What If Iran Doesn’t Stop When We Do?

Podcast: Know your risk

AI Executive Summary

Core Thesis The episode explores the growing instability within global markets and geopolitics, arguing that investors are currently overlooking critical "blind spots"—specifically the shifting arithmetic of modern warfare, the disruptive potential of low-cost Chinese AI models, and the volatile risk of energy supply chain disruptions in the Middle East. The host suggests that while the US market may be overconfident in its ability to de-scale geopolitical tensions, the reality of changing military doctrines and economic shifts could lead to significant, unpriced risks in energy and technology sectors.

Key Arguments & Data * **Market Performance & Commodities:** * Recent market decline: S&P 500 down 1%, Mag 7 down 1.8%, and Tesla down 2.6%. * Energy volatility: WTI Crude pushed toward $82; gasoline futures rose over 3%; there is significant concern regarding the potential closure of major shipping straits (Hormuz/Bab el-Mandeb) due to Iranian retaliation against civilian infrastructure. * Precious metals: Gold up 0.7%, while Platinum and Copper faced declines. * **The AI Arms Race:** * The emergence of Moonshot AI's "Kimmy" model represents a "DeepSeek 2.0" moment, where Chinese models are approaching or beating US frontier models, potentially at a lower computational cost. * This competition is creating volatility within the semiconductor sector (down ~20% recently) and disrupting established AI leaders in China and the US. * **The "Arithmetic of War" Shift:** * Citing Eric Schmidt, the episode argues that modern warfare is transitioning from "exquisite," expensive platforms (like Lockheed Martin's Patriot interceptors) to cheap, abundant, mass-produced systems (like Shahed drones). * A critical gap exists between current US military doctrine/spending and the reality of drone-centric conflict seen in Ukraine. * **Geopolitical Blind Spots:** * There is a high-impact, low-probability risk that the US assumes a "de-escalation" is always possible, whereas Iran may move toward more offensive, permanent tactics that disrupt global oil flows. * The effective closure of the "Oman lane" in the Strait of Hormuz due to attacks on civilian infrastructure is already underway. * **Global Economic Outliers:** * New Zealand is identified as a potential "hidden growth story," emerging from a recent recession with rate cuts and potential fiscal stimulus driving a cyclical recovery in property and other sectors.

Actionable Takeaways * **Monitor Energy Supply Chains:** Investors should closely track developments in the Strait of Hormuz and the Red Sea, as any confirmed closure or significant disruption to shipping lanes will likely trigger sharp spikes in oil and gasoline prices. * **Re-evaluate Tech/Semiconductor Exposure:** Given the rising competition from cost-effective Chinese AI models, investors should look beyond simple "AI hype" and analyze which hardware and software players are most vulnerable to being disrupted by cheaper, more efficient alternatives. * **Watch for Defensive Sector Shifts:** The shift toward mass-produced, low-cost defense technology suggests a potential long-term pivot in how much value is captured by traditional "big defense" contractors versus smaller, agile innovators. * **Diversify into Emerging Recovery Stories:** Look for opportunities in markets like New Zealand that are transitioning from deep recessions into recovery phases driven by monetary and fiscal easing.

Full Transcript

I think one of the reasons the US feels confident to escalate is they feel confident that they can just de-escalate. Like, at any moment, it's like, hey, let's just talk again, and they'll be like, OK. Could the market's biggest blind spots put your retirement at risk? Investors and advisors are focused on AI, inflation, and conflicting headlines. But what if the real risk to your portfolio is something the market isn't seeing? You can join Bulwark Capital, Zach Abraham, for his free Market Blind Spot webinar, July 23 at 3.30 Pacific. At our webinar, we'll expose blind spots investors may be overlooking, threats to your portfolio in the months ahead, plus a full reveal of how Bulwark is focused on risk management, always looking for opportunities to lower your risk, lower your cost, and give your retirement as much upside as possible.

Have your questions answered during this live and free webinar. Register today at knowyourriskpodcast.com for the market blind spot webinar happening at 3.30 Pacific on July 23rd. And you can also subscribe to Zach's daily podcast on YouTube and at knowyourriskpodcast.com. That's knowyourriskpodcast.com. Investment advisory services offered through Trek Financial LLC. An SEC registered investment advisor. Investments involve risk and are not guaranteed. His performance doesn't guarantee future results. Trek 26111. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. It is only intended to provide education about the financial industry. To determine which investments may be appropriate for you, consult your financial advisor prior to investing. Any past performance discussed during this program is no guarantee of future results. Any indices referenced for comparison are unmanaged and cannot be invested into directly. Any references to performance of securities are thought to be materially accurate and actual performance may differ. As always, please remember investing involves a risk and possible loss of principal capital. Please seek advice from a licensed professional.

All right, welcome back to another edition of the daily dots here on the Friday edition on July 17th chase flying solo with you to cap off the week I have a few things to talk about but of course I will start with the markets Kind of ugly Friday out there S&P close down 1% Equal weight was down 0.8. You had the cues down one and a half small caps down half a percent Mac 7 down 1.8 All-World Xuriasse was down 0.8 even though the dollar was flat As far as single names went inside of the max 7 nothing was up or down More than 3% so quiet though mostly negative obviously the worst was a Tesla down 2.6 The two-year yield was up about four basis points the rest of the curve pretty flat Oil up another three and a half percent front month WTI now up near 82 And we had kind of been struggling to chew through the 80 area so notable that we are up at about 82 now close to it The December contract was about 2.7 worth noting on positioning the Shorts to started to move out and a lot of people have been getting long so that super eight asymmetric positioning Tail one that was kind of obviously when it's going to happen it started to engage itself which means two things. One, it's good because you get some kind of non-fundamental demand. But two, that means it's getting less asymmetric to the upside each time that furthers itself. So that process has begun. Obviously, from here, it just depends on how open or closed the straight is and how much China is buying. For the most part, those are the two big ones to watch. As for the straight at the moment, yesterday was the worst.

Number of crossings we've had in three weeks. So it's very much closed for now And out of those crossings all but one We're done on the Iran side not the Oman side. So they're the Oman Lane is effectively closed at this point gasoline futures are up over 3% as well a diesel thinking yesterday or do they I can't remember went back about 5 a gallon nationwide so product prices are still problematic as far as metals went you had Gold up a little bit, about 0.7 silver flat. Gold miners flat. The other metals were not great. Platinum down over two. Copper down over one. Vaughn had a bit of a pop, obviously, as we had some downside in the market today. Front month VIX of about 4%, a little more. You're back above 19 now. We did just have the contract roll, I think yesterday. Spot VIX was actually up 12%, but...

I don't really care about Spotify, honestly. As far as the leaders for much of the year, you had memory back in the green today, but only up 0.7. But you're down another two and change on semiconductors, which are now down about 20%, and memory is still down over 30%. So those two continue to be kind of a weight on the market. Mac 7 same thing, you know, you had one really good day this week for Mac 7 But you know, you're still in a drawdown there worse drawdown than you are for the S&P So there's a red week for Mac 7 kind of red week for a lot of things but See there's any single name stuff that's kind of worth pointing out today Act stuff continues to be decent uranium is something that continues to kind of Struggle, but should be getting clinical full system support Adobe is what you talked about a good bit was up, but nothing nothing spectacular there One area we talked about a decent amount of refiners very very strong there and continue to make kind of make new highs Kind of back in the green on on biotech two red weeks in a row Finally kind of you know, we went straight up so kind of do jet digesting that but up today Up about one and a half and not normally a huge deal, but when the market itself is down one and you're up one and a half that That's definitely not nothing another good day for energy Obviously with the price of oil kind of did bring energy with it The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security Any references to performance of securities are thought to be materially accurate and actual performance may differ what I wanted to talk about today But kind of the obvious big news we have is kind of a deep-seek 2.0, if you will. Moonshot AI's new Kimmy model. Really, really good. Maybe there is some copycatting involved in making that. But when you're scoring higher than the US Frontier models in a lot of ways, or at least really close to beating them, it's probably not all copycat, right? But from what I understand, though, this model isn't super cheap and run on HootD chips or whatever. So it's still a huge story because Chinese models beating the best US models and it costs less to make or whatever, but still it's not like this thing's dirt cheap or something. That did shake up markets. And even inside of China, because one of their main AI plays had been doing well the last few months, all of a sudden, you know, has to compete with another model builder in China. So they really struggled. And the same in the U.S. is probably one of the reasons we had Mac 7 down on the day. And speaking of which, you had, you know, SpaceX was down. Let's look it up real quick. SpaceX closed down almost 5.5% on the day. You've wiped out over a trillion dollars in value for SpaceX. You know, I mean, this thing just went public.

barely over a month ago. And it was down over 5% today, and that's despite the, you know, getting headlines about them having negotiations with the Pentagon on some sort of compute contract. So that's the kind of thing you would normally expect to kind of pump the stock, especially one that is as popular with retail as obviously as SpaceX is. So the fact that they pumped a good headline and then still finished down 5% really to me at least says a lot. One other thing that I found worth mentioning, and I just wrote about it in one of my letters yesterday is New Zealand. New Zealand has been a stock market that has been really struggling the last few years, especially the last three years. The economy's been struggling. I mean, that recession last year, like, you know, most of the world was doing pretty well last year and they were in a recession. But all of a sudden it looks like cyclically the country is kind of coming back. They just did a bunch of rate cuts. Obviously that's helping out property.

They have a lot of different sectors picking up the growths picking up They're gonna have elections soon where all the candidates are talking about doing some fiscal stimulus, which all of a sudden they seemed like they have the room to do Their stock market if you kind of chart it on its own it looks good if you chart it versus the rest of the world it looks good if you chart it versus the S&P it's starting to look good so just like a Notice of a noteworthy like a little pocket of the world just after being brutal for weeks months years Maybe like a bit of a little bit of a hidden growth story that people aren't paying attention to it's worth thinking about Obviously, I will update you on the straight before we get out of here. So this is gonna be very short one this week No major changes obviously I mentioned, you know, very very minimal crossings yesterday. You had another tanker get hit today Like I said the Amon route basically dead for now They have chose to You know put a lot on on keeping that closed And so far, they're doing it. We continue to hit civilian infrastructure. There was a lot of roads, bridges, rail, a lot of links from mainland to the islands out in Kesham Island near Bandar boss, things like that. Probably trying to take out resupply routes to some of the forward operating locations that Iran has out on that kind of peninsula island area.

I do see people speculating that that means ground troops are going to go in there soon, that doesn't necessarily at all have to be the case. Just them not being able to resupply drones and missiles closer to the strait on its own makes sense without putting people on the ground. But I also can tell the authorities in Iran are nervous about something happening on the ground because they keep making a mention of it themselves, mourning against it essentially. I have no idea if that's going to go that way. I still have to doubt that just because I'm so confident in how poorly it would go. And I have to believe the Pentagon hopefully knows at least as much as I do about how that would go. So I don't really think it's going to go that way. But for now, we're stuck in this cycle of us hitting, obviously, a bunch of military targets, but now civilian infrastructure.

The Iranians have reciprocated and hit bridges in the region. They have hit electrical facilities in the region, a think desalination plant in the region. They have done a lot more damage to our bases. Some of the radar, maybe potentially some aircraft, definitely some support buildings in multiple different bases. They are warning on an escalation against our naval assets. Not really specific on what that would look like, but they have made that that warning very explicit of late and they're starting to talk about Sort of pivoting to offensive operations. So everything they've done to date. They've tried to make a Basically defensive deterrent, you know operations they usually wait for us to do a certain type of Target and then they do that type of target like when we hit their bridges they hit a bridge like things like that So they're threatening to like kind of change tactics and go more offensive And they kind of framed it as like, if the US keeps hitting us for a few more days, then we're going to, we're going to pivot to offensive. Maybe part of that is going to be the Baba Mandab straight and the Red Sea. They continue to talk like they're going to, you know, potentially imminently shut that down. In the past, they have linked that to us hitting the power plants, and then they would activate that. Maybe they would do it for less. Who knows?

They've kind of said that, you know, they're doing the preparations now, getting ready for it so far here on, you know, 2pm West Coast time on Friday. Traffic seems to be normal going through there. They've said they've put out the warnings to ships. We'll see until the shipping gets disrupted. I think it's worth largely ignoring that. Now, I will say if we do start hitting power plants this weekend, I fully expect them to fall through and actually close the straight. So you have two straights closed with a very significant amount of oil that should be transported through both. So one area of concern for me, and I think it is a very low probability, but high impact kind of situation is, I think one of the reasons the US feels confident to escalate is they feel confident that they can just de-escalate. In any moment, it's like, hey, let's just talk again. And they'll be like, OK.

Um, I, I do worry a little bit that we run the risk of getting to a point where let's say it was a hundred bucks and we're just like, okay, well, this is not as fun or they, you know, do some serious damage to something that, that we didn't really want to have damage done to. And we're like, all right, cool. Let's just, you know, let's have another meeting and it's a lot of bad and talk it out. And they just go, you know what, no, no, thanks. And we're going to keep hitting stuff. I think. I think rightfully so in the US, we view that as low probability. I think we view it as like, look, if we stop, they're going to stop. And I think that is the odds-on favorite. And I don't really have any pushback on that. But again, kind of piggybacking on what I was saying yesterday with markets. Is markets are pricing in? Something like that is zero. That we're like, hey, let's just talk.

Let's say we start trying to job on prices back down by saying, oh man, they're dying for a deal. They call, they want to have a meeting. Like they want to deal. There's a little bit of that this week in the market ignored it, which, you know, I'll get the market credit for that. But more to the point, if you saw like significantly, you know, significant job on like the big Axios headline drop, it's like, wow, pieces imminent. And then, you know, Iran were to come out and be like, no, it's not and like bomb something meaningful. That's a scenario I don't think anyone Has an on their bingo card and again, I do think it is I'll all agree that it's very low probability, but it's again not zero maybe They did they did come out and say you know are The times of the time I was like doing war and negotiations kind of almost at the same time like that's over. We're done with that Which to me means like we're just gonna do war And if we're gonna do negotiations, it's gonna be like very far away from this setting meaning I think it I think the intensity of the conflict would have to be gone for a while before there are meaningful talks. And a while was kind of turning into dog years for the oil market, I think. We came into this new round, whatever, two weeks ago, a week and a half ago. We came into that already with a lot less oil and a lot less product inventory than obviously where we entered the war.

a lot less SPR. So just, I just think the stakes are higher in the second round. And I think the leverage of energy prices are starting to build. And you could argue that Iran was kind of dumb to let that leverage go this last time to have the talks that may have been the genius behind saying, yeah, you want 300 billion, you know, to get them to actually stop so we can get a bunch of oil out. I think we run the risk of them kind of seeing through that this next time and trying to make sure that they keep pressure even through talks on the economic side. For them, there's largely an economic war in a way that it's not in the same for us. And I think they kind of let their guard down on that side in the first round of negotiations.

I'm not convinced they will let their guard down in the next round of negotiations on kind of letting the prices of energy go back. Now, the hard part for that is they also are going to want to sell their own oil. If we do this for another month with the blockade, they'll be right back to really needing to offload some of that so they don't have to shut in production all the way back down to one, two million barrels or whatever. So we'll see. There's something to think about. Two more things that I wanted to mention. One is just going to be a quote to leave you with, but one is something I read today is an interview with Eric Schmidt, formerly of Google. He's been doing a lot of defense work really for years now. He got involved with some really important Pentagon work. I mean, it's been going on for a while now. I was still doing intelligence work actually whenever he started to do some of this work.

very, very early in what was called DIUX back then, the Defense Innovation Unit, just called DIU Now. Really helping small companies tap into the Pentagon and do really, really good work. A great mission. DIU is a great organization. I just appreciated him and his views on defense. And now he runs his own defense firm, I think so. But this is something he said that I just, I was spot on and I wanted to read to everybody. He said, the arithmetic of war is fundamentally changing. The Russians are aiming to produce 1,000 Shahead drones a day to fire against Ukraine while Lockheed Martin produced 600 Patriot interceptors all of last year. For all of what AI will do for warfare in the world, the gap has to be filled by investing in our industrial capacity and building the cheaper, abundant systems that have been shown to be so important by the war on Ukraine. American military doctrine is still organized around exquisite, expensive platforms designed to for a kind of conflict that is no longer the one being fought. And that is a critical point. Like almost everything we're doing now has nothing to do with the reality of now. He said, a great deal of current military spending is going to systems whose purpose, training pipelines and budgets are built on assumptions Ukraine has already disproven. The institutions have not yet acknowledged that the doctrines and resources no longer match the war they will have to fight. And I think this is an area where that pivot from the way war used to be to the way the war is now. It has to be a fast, violent pivot and it cannot allow sacred cows. It cannot have too much inertia. It has to rip forward. I mean, even in Ukraine, like they just lost, they're really impressive to me at least. Defense Minister, because there's a fight between the kind of new guard and the old guard. The old guard apparently won the fight, which is completely asinine on Ukraine's part. I think this is a terrible mistake Shalinsky made to not keep their very thoughtful, young, forward-looking defense minister who really was helping them leave Soviet-era thinking behind and just go flying forward into the future that is obviously staring us in the face. He said, this is the greatest revolution in warfare history.

We're at the very beginning of working out what it means and neither our political leaders nor our military have yet caught up with what is coming. I think it's bought on. I think you could have said this five, 10 years ago even, but you would hope between Ukraine and Iran that it's wildly obvious now. But I just thought that was worth reading because, you know, Eric Schmidt, it was just so squat on. And what I'll leave you with is a quote from Second Day in a Row from the Ed Thorpe book. The book is called A Man for All Markets. He said, he said, I want Claude Shannon. He said, Claude asked me to dinner if I thought anything would ever top this in my life. You've been on a great run, you know? He said, my thoughts then were much like I expected his to have been. That acknowledgement, applause and honor are welcome and add zest to life, but they're not ends to be pursued. I felt then as I do now that what matters is what you do and how you do it. The quality of the time you spend and the people won't you share it with.

I'll leave it there for this week. We'll be back with more next week. Have a great weekend.